

Dr Reddys Laboratories Ltd

DRREDDY | Healthcare

ROE	ROCE	OPM
19.7%	31.1%	28.3%
D/E Ratio	Interest Coverage	EPS
0.07	51.7x	■67.00

5-Year Financial Trend

Year	Revenue (Cr)	Net Profit (Cr)
2024-03	■28,011	■5,578
2023-03	■24,670	■4,507
2022-03	■21,545	■2,182
2021-03	■19,048	■1,952
2020-03	■17,517	■2,026

Cash Flow Intelligence

Metric	Value
CFO Quality	High Quality
CapEx Intensity	Capital Intensive
Capital Allocation	Self-Sufficient Growth
FCF 5Y CAGR	-32.8%
Distress Flag	No

✓ Investment Strengths (Pros)

- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding

■ Investment Concerns (Cons)

- General market and sector risks inherent to all equity investments